Budget 2024 sees the Modi government take the problem head on with Sitharaman announcing the 'Prime Minister's Package' of five major employment-related schemes that had an ambitious Rs 2 lakh crore outlay spread over five years to facilitate jobs and skilling to 41 million youth. It is probably the boldest job creation mission that Modi has launched since his government came to power 10 years ago. The big shift is that instead of just providing production-linked incentives and reducing the cost of capital to generate growth, the Modi government has decided to bet big on subsidising both employment and employability. In an interview to INDIA TODAY, Union finance secretary T.V. Somanathan said, "It is a big, innovative push to ensure that India's growth becomes more employment-intensive. It is huge because it intends to cover more than 40 million youth and we are not talking small change here, we are putting Rs 2 trillion. It's innovative because these schemes have no exact parallels, especially the involvement of the private sector and the linkage of all these subsidies to employment rather than to just investment or production." (*See accompanying interview.*)

TACKLING THE DEMOGRAPHIC BULGE

While evolving these schemes, the biggest challenge, Somanathan says, was the demographic bulge among the youth. India currently has 650 million people in the prime working age group of 18 to 35 years, which is itself nearly twice the total population of the US. This means that if India can encash this demographic dividend, it would accelerate the country's growth and put it firmly on the path to a Viksit Bharat by 2047.



CHANDRADEEP KUMAR

"The internships are meant to give our underprivileged youth exposure to successful businesses for 12 months and open their minds so that they can aspire to do bigger things"

— AJAY SETH
Union Economic Affairs Secretary

BIG 5 PACKAGE FOR JOBS

Amid the increasing unemployment rate and job and wage losses, the Union government has come out with a five-pronged strategy to facilitate employment and skilling for India's teeming youth population

DISTRIBUTION OF SPENDING AMONG THE FIVE SCHEMES

Central outlay in ₹ '000 cr. in bold
Expected beneficiaries in millions in ( )

EMPLOYMENT-LINKED INCENTIVES

1. Scheme A	**23** (21)
2. Scheme B	**52** (3)
3. Scheme C	**32** (5)

4. SKILLING	**30** (2)

5. INTERNSHIP IN TOP COMPANIES

Phase 1	**19** (3)
Phase 2	**44** (7)

DURATION (IN YEARS)

ENROLMENT DURATION/ EXPENDITURE DURATION

ELI Scheme A (First-timers)	**2 / 3**
ELI Scheme B (Job creation in manufacturing)	**2 / 6**
ELI Scheme C (Support to employers)	**2 / 6**
Skilling (Upgradation of ITIs)	**NA / 5**
Internship (Phase 1)	**2 / 3**
Internship (Phase 2)*	**3 / 4**

*Starting from third year